

Table 31.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern's height from tallest peak to valley low (between the two peaks). Subtract the height from the breakout price to get a target. Ignore values below 0. Big declines will be unrealistic. Use Table 31.3 for a reality check. The lower portion of the table shows how often the measure rule works.
Wait for breakout	Wait for a close below the confirmation point before selling—usually.
Trade with market trend	For best results, short in a bear market.
Check others in the industry	To avoid 5% failures, check other stocks in the same industry and go short if they are showing topping patterns or if the stocks are falling.
Stop location	Consult Table 31.7 for help with locating a stop.
Busted trade	Trading a single busted double top can be rewarding.
Tips	See text.

Description	Down Breakout
Percentage reaching half height target	79%
Percentage reaching full height target	54%
Percentage reaching 2× height	26%
Percentage reaching 3× height	15%

Wait for breakout. As a trading signal, you will want to wait for the breakout before exiting a long position or opening a short sale. The breakout price is the lowest low between the two tops, shown in [Figure 31.6](#) as the confirmation line. If you sell your shares before confirmation, there is a 60% chance that price will not decline to the confirmation line but will